DEPARTMENT OF HOUSING AND COMMUNITY DEVELOPMENT
DIVISION OF HOUSING POLICY DEVELOPMENT
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October 16, 2026

Ashley Jones, City Manager
City of Del Mar
1050 Camino del Mar
Del Mar, CA 92014

RE: City of Del Mar's Housing Element Implementation – Corrective Action Letter

Dear Ashley Jones:

The California Department of Housing and Community Development (HCD) has reviewed the City of Del Mar's (City) obligations under the housing element and hereby issues its written findings that the City has failed to implement Program 1E (Rezone of Vacant North Bluff and/or South Stratford Properties) to rezone sites to satisfy its lower-income Regional Housing Needs Allocation (RHNA) shortfall pursuant to Government Code section 65583.2, subdivisions (h) and (i).

HCD requests that the City provide a written response to the findings below within 30 days and no later than November 16, 2026. HCD will consider the City's written response before taking any enforcement action authorized by Government Code section 65585, subdivisions (i) and (j). As discussed in this letter, such actions may include revoking HCD's finding that the City's housing element is in substantial compliance with Housing Element Law and/or referral to the California Office of the Attorney General.

Housing Element Law

HCD must review any action or failure to act by a local government that it determines to be inconsistent with an adopted housing element or Government Code section 65583 generally, and it must issue written findings accordingly.[1] HCD must give the local government a reasonable time, no longer than 30 days, to respond to these findings.[2] If HCD does not receive a written response within 30 days, or the response does not demonstrate that the program action has been implemented, then HCD may revoke its findings that the local jurisdiction's housing element substantially complies with Housing Element Law.[3]

[1] Gov. Code, § 65585, subd. (i)(1).
[2] Gov. Code, § 65585, subd. (i)(1)(A).
[3] Gov. Code, § 65585, subd. (i)(1)(C).

Additionally, HCD may notify the California Office of the Attorney General when a local jurisdiction takes actions that are inconsistent with an adopted housing element or Government Code section 65583, among other laws.[4]

Findings

On May 31, 2023, HCD found the City's housing element in substantial compliance with Housing Element Law. HCD based its compliance findings on, among other things, a commitment to implement housing element Programs 3A (Fairgrounds Affordable Housing) or 1E, which are fundamental to the City's ability to meet its 6th cycle RHNA. These key programs commit the City to develop a minimum of 54 units of affordable housing on the Fairgrounds site or implement a contingency rezone program, pursuant to Government Code section 65583.2, subdivisions (h) and (i). The City is relying on the Fairgrounds site to accommodate nearly half of its total lower-income RHNA.

On December 11, 2024, HCD sent the City a Letter of Technical Assistance, clarifying the implementation requirements of these key programs. Although the City met the initial requirements of Program 3A by entering into an Exclusive Negotiating Rights Agreement (ENRA) with the state 22nd District Agricultural Association (DAA), HCD informed the City that a development agreement, such as a ground lease with the DAA, is required to effectively implement Program 3A. In addition, HCD clarified that Program 1E remains a requirement should the ENRA be terminated or development of affordable housing on the Fairgrounds becomes infeasible within the planning period.

On January 15, 2026, HCD sent a Letter of Inquiry regarding the City's progress. The letter acknowledged new deadlines provided by the City, which include reaching an agreement with the DAA on the site and lease terms by November 2026. Importantly, the letter stated that any delays may render the Fairgrounds site infeasible within the planning period and would trigger implementation of Program 1E. The City provided a written response on February 10, 2026, confirming its understanding of the required program actions and deadlines.

On August 18, 2026, the DAA Board of Directors voted to terminate the Affordable Housing Site Due Diligence and Development and Feasibility Analysis Agreement (formerly called the ENRA), effectively ending Fairgrounds affordable housing discussions with the City. HCD met with the City on September 1, 2026, to inquire about Program 1E implementation. The City provided a written response on September 16, 2026, stating that it would implement Program 1E by rezoning the North Bluff properties. However, the City did not confirm implementation of the requisite "by-right" provisions to satisfy the lower-income RHNA shortfall.[5] The City's response claimed that it had sufficient lower-income RHNA capacity based on alternate sites that were not analyzed nor identified in the City's adopted sites inventory. As a reminder, HCD's December 11, 2024 letter

[4] Gov. Code, § 65585, subd. (j).
[5] Gov. Code, § 65583.2, subds. (h) and (i).

advised the City that a housing element amendment would be necessary to substantially modify the sites inventory and program actions and must be reviewed by HCD prior to adoption.[6] Absent any formal amendment, the City's housing element and sites inventory currently shows a shortfall of 54 lower-income units to meet the RHNA.

Based on the City's September 16, 2026, correspondence, HCD finds that the City has failed to implement the required rezone program actions following termination of the Fairground affordable housing agreement. Failure to implement the rezone actions in Program 1E means the City's housing element will no longer substantially comply with Housing Element Law, and HCD may revoke its finding of substantial compliance.

Next Steps

HCD provides the City until November 16, 2026, to provide a written response to these findings. If you have questions, need additional information, or wish to schedule a meeting, please contact Linda Ly at Linda.Ly@hcd.ca.gov.

Sincerely,



Melinda Coy
Assistant Deputy Director
Housing Accountability Unit

cc: Karen Brindley, Planning and Community Development Director
Amanda Lee, Principal Planner
Ralph Hicks, Assistant City Attorney

[6] Gov. Code, § 65585, subd. (b).